

AI Failure Examples

1. Zillow (Zillow Offers)

Summary:

Zillow's AI home-pricing model overvalued properties during volatile market conditions, causing the company to buy homes at inflated prices and sell at losses, ultimately shutting down the program.

Possible solution:

Use AI as a decision-support tool only, not an automatic buyer. Add human market experts to approve purchases and stress-test models for extreme market shifts.

Source: <https://www.cnn.com/2021/11/02/homes/zillow-exit-ibuying-home-business/index.html> (Summary of Zillow Losses)

<https://jise.org/Volume35/n1/JISE2024v35n1pp67-72.pdf> (Journal analyzed Zillow's use of AI)
<https://www.gsb.stanford.edu/insights/flip-flop-why-zillows-algorithmic-home-buying-venture-i-mploded> (Article explaining how sellers took advantage of AI's inability to evaluate intangibles that human eyes catch instantly like weird home layouts)

2. Google Flu Trends

Summary:

Google's model used search data to predict flu outbreaks but significantly overestimated flu cases and didn't recognize other outbreaks due to changing search behavior and lack of recalibration.

Possible solution:

Combine AI predictions with verified public health data (like CDC reports) and continuously retrain models to account for behavioral and data drift.

Source: <https://www.conference-board.org/research/human-capital-briefs/blg-00-1-2962>

3. Amazon AI Hiring Tool

Summary:

Amazon's recruiting AI learned bias from historical hiring data and downgraded resumes associated with women, leading to discriminatory outcomes.

Possible solution:

Audit training data for bias before use, apply fairness constraints in models, and require human review for all hiring decisions.

Source:

<https://www.reuters.com/article/us-amazon-jobs-automation-insight-idUSKCN1MK08G/>

4. Microsoft Tay Chatbot

Summary:

Microsoft's chatbot learned from user interactions on social media and quickly began producing offensive and harmful content.

Possible solution:

Block real-time unsupervised learning in public environments, implement strong content filters, and include adversarial testing before launch.

Source: <https://blogs.microsoft.com/blog/2016/03/25/learning-tays-introduction/>

5. Healthcare Risk Prediction Bias (Optum / Healthcare Analytics)

Summary:

A widely used healthcare risk algorithm was designed to identify patients who needed extra care. However, it used healthcare spending as a proxy for health need, so it systematically underestimated the needs of Black patients who historically spent less on healthcare due to access barriers—even when they were equally or more ill.

Possible solution:

Avoid proxy variables that reflect systemic inequality (like cost). Use direct medical indicators (diagnoses, lab results) and regularly audit models for demographic bias.

Source: <https://www.science.org/doi/10.1126/science.aax2342>

6. Target Pregnancy Prediction Marketing Model

Summary:

Target developed a predictive analytics model that identified customers who were likely pregnant based on purchasing patterns. In a well-known case, the model accurately predicted a teenager's pregnancy before her family knew. Her father became upset after receiving baby-product coupons addressed to his daughter and confronted Target. He later learned that his daughter was, in fact, pregnant. While the model worked as intended, the incident sparked widespread concerns about consumer privacy, data ethics, and how businesses use predictive analytics.

Possible solution:

Add ethical constraints to predictive marketing models, especially for sensitive life events. Limit precision targeting and include privacy review processes for segmentation models.

Source: <https://repository.law.uic.edu/cgi/viewcontent.cgi?article=1784&context=jitpl>

Not sure this so=ould be in here because it was technically successful

7. Netherlands Welfare Fraud AI Scandal

Summary:

A government algorithm flagged thousands of families as potential fraud risks in childcare benefits, most of whom were wrongly accused. This led to financial devastation and political fallout.

Possible solution:

Require transparency and explainability in government AI systems. Use human review before enforcement actions and ensure models are not sole decision-makers.

Source:

<https://museumoffailure.com/exhibition/toeslagenaffaire-dutch-benefits-scandal#:~:text=2021,algorithm%20learned%20to%20racially%20discriminate.&text=It%20learned%20to%20flag%20individuals,for%20human%20review%20or%20appeal.>

8. Deloitte's Report for Australia's Government had Multiple AI Hallucinations

Summary: In July 2025, Deloitte Australia was paid \$440,000 to review a government welfare-penalty framework. When published, researchers discovered the report contained multiple AI "hallucinations," including completely fabricated citations of legal studies and a fake reference to a federal court case decision (*Deanna Amato v Commonwealth*). Deloitte admitted to using Azure OpenAI (GPT-4o) and agreed to a partial refund.

Possible solution: Implement a strict, dual-layered human review protocol for any consultancy work utilizing generative AI. Organizations should mandate that all external citations, legal precedents, and data points are manually verified by human subject-matter experts before delivery, while clearly disclosing the use of AI tools in the report's methodology from the outset.

Source:

<https://www.theguardian.com/australia-news/2025/oct/06/deloitte-to-pay-money-back-to-albanese-government-after-using-ai-in-440000-report>

9. Air Canada's AI Chatbot Invented a Refund Policy

Summary: In February 2024, Air Canada's customer service chatbot incorrectly informed a passenger that he could receive a retroactive refund under the airline's bereavement fare policy. The information was entirely fabricated and contradicted Air Canada's official policy. After the passenger relied on the chatbot's advice, a Canadian tribunal ruled that Air Canada was responsible for the misinformation published on its own website and ordered the airline to honor the refund claim.

Possible solution: Organizations should treat AI-generated customer responses as official company communications by implementing human review for policy-related content, limiting AI responses to verified knowledge bases, and requiring regular audits to ensure chatbot information remains accurate and up to date.

Source:

<https://www.bbc.com/travel/article/20240222-air-canada-chatbot-misinformation-what-travellers-should-know>

10. KPMG Withdraws AI Advisory Report After Hallucinated Claims About Major Organizations

Summary: In June 2026, KPMG withdrew its report, *Redefining Excellence in the Age of Agentic AI*, after it was found to contain AI-generated inaccuracies, fabricated citations, and misleading claims about how organizations such as UBS, the NHS, and Transport for London were using AI. An independent review found that most of the report's citations did not accurately support the claims made.

Possible solution: Organizations should require human verification of every AI-generated citation, statistic, and case study before publication. Subject-matter experts should review all AI-assisted reports to ensure the information is accurate and supported by credible sources.

Source: <https://pressinsider.com/news/kpmg-pulls-ai-report-after-hallucination-claims/>

11. California Attorney Fined \$10,000 for AI-Generated Legal Citations

Summary: In September 2025, the California Second District Court of Appeal fined Los Angeles attorney Amir Mostafavi \$10,000 after determining that 21 of the 23 legal quotations cited in his appellate brief had been fabricated by ChatGPT. Mostafavi admitted that he used ChatGPT to improve his brief and failed to verify the AI-generated citations before filing the document. The court ruled that the filing wasted judicial resources and emphasized that attorneys remain fully responsible for verifying all legal authorities included in court submissions.

Possible solution: Organizations and legal professionals should require mandatory human verification of all AI-generated content before submission, particularly for citations, quotations, and factual claims. Firms should also establish AI usage policies, provide employee training on AI risks, and make individuals accountable for reviewing and approving AI-assisted work prior to publication or filing.

Source: <https://calmatters.org/economy/technology/2025/09/chatgpt-lawyer-fine-ai-regulation/>